TUTORIAL READINGS AND QUESTIONS FOR PUBLIC ECONOMICS

2026-2027

LIST OF TOPICS

1. COST-BENEFIT ANALYSIS
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TOPIC 1. COST-BENEFIT ANALYSIS

Choosing, valuing and discounting costs and benefits; applications to valuation of a human life.

Core Textbooks:

Connolly and Munro, Chapters 5, 7, and 24.

Hindricks and Myles (2nd edition), Chapters 25, 26

General Reading:

Bellinger, W. (2007), The Economic Analysis of Public Policy, Routledge. Boadway, B. and N. Bruce (1984), Welfare Economics, Chapter 10

Cullis, J. and P. Jones (1992), Public Finance and Public Choice, McGraw Hill, Chapter 6.

Diamond, P. A., & Hausman, J. A. (1994). Contingent valuation: Is some number better than no number?. *The Journal of economic perspectives*, 8(4), 45-64.

Dreze, J. and Stern, N.H. (1987), The Theory of Cost-Benefit Analysis in Auerbach, A.J. and Feldstein, M.S. (eds.), Handbook of Public Economics, Volume II, North-Holland.

Mishan, E. and E. Quah (2007), Cost Benefit Analysis, Routledge.

Pearce D., G. Atkinson, and S. Mourato (2006), Cost Benefit Analysis and the Environment: Recent Developments, OECD Publishing.

Choosing and Valuing Costs and Benefits:

Brekke, K. (1997), "The Numeraire Matters in Cost-Benefit Analysis", *Journal of Public Economics*, 64(1):117-23.

Pollak, R.A. (1998), "Imagined Risks and Cost-Benefit Analysis", *American Economic Review,* P and P, May, 376-380.

Stern, N. The Structure of Economic Modeling of the Potential Impacts of Climate Change: Grafting Gross Underestimation of Risk onto Already Narrow Science Models *Journal of Economic Literature,* **2013***, 51*, 838-59

Murphy, K. And R. Topel (2006), "The Value of Health and Longevity", *Journal of Political Economy*, 115(4): 871-904.

Zweifel, P. and F. Breyer (1997), *Health Economics*, OUP, Chapter 2.

See also the Symposium on Contingent Valuation in *Journal of Economic Perspectives*, 8(4), (1994), in particular the article by Diamond & Hausman

Discounting Costs and Benefits:

Flemming, J. and C. Mayer (1997), "The Assessment: Public Investment", *Oxford Review*

of Economic Policy, 13(4): 1-11.

Groom, B., Hepburn, C., Koundouri, P. and Pearce, D. (2005), "Declining Discount Rates: The Long and Short of it", *Environmental and Resource Economics*, 32(4): 445-93.

HM Treasury (2003), Green Book: Appraisal and Evaluation in Central Government, especially Annex 6, at http://www.hm-treasury.gov.uk/d/green_book_complete.pdf

Giglio, S.; Maggiori, M. & Stroebel, J. Very Long-Run Discount Rates *National Bureau of Economic Research,* **2014** http://www.nber.org/papers/w20133

Past Exam Questions for Topic 1:

1. What is the effect of higher interest rates on cost-benefit evaluation of public projects? (2025, Part A)
2. The government's 'Levelling up' strategy aims to spread economic activity more equally across the UK. Describe how this could be done through public investment. What are the difficulties in determining whether such projects should be undertaken? (2024)
3. The country of Dardan has a strait that serves as an important international shipping lane and on which it charges tolls. This strait has recently become congested. The government is considering constructing a canal that runs parallel to the existing strait. How should the government decide whether to undertake this project? What considerations make this public project more difficult to evaluate than a similar private project? (2022)
4. What is the "Value of a Statistical Life"? Is it possible to put a value on improvements in health, without assuming that the lives of the chronically ill are worth less than those of the healthy? (2020)
5. 5% of global deaths, and 6% of the global burden of disease, are attributable to alcohol. How would you assess the benefits of a policy to reduce alcohol use? What might be the costs of such a policy, even if well-designed? (2019)
6. Consider two neighbouring countries X and Y. The government of X considers building a border wall between X and Y with the aim of reducing illegal immigration from Y to X. Propose a cost-benefit analysis from the point of view of country X for the wall if it is funded out of an increased income tax on X's workers. How does your analysis change if the wall is funded out of a tariff on all goods that Y exports to X? (2017)
7. Where should the government allow the building of an additional runway, at Heathrow or at Gatwick? Does your conclusion change if the UK income distribution is taken into account (given that average incomes of residents in the areas close to Heathrow are generally higher than those close to Gatwick)? (2016)
8. The market interest rate is often used in cost-benefit analyses to discount future payments since it reveals citizens' preferences. Is the market interest rate the correct rate to use for cost-benefit analysis if citizens discount time in a quasi-hyperbolic way (Laibson 1997)? Use a simple two-period model to explore whether the social discount rate should be higher, lower or identical to the revealed discount rate. (2015)
9. How should the interest rate be chosen when evaluating measures against climate change? (2014)
10. Assess what policy makers can learn from cost-benefit analysis when market prices for the relevant costs and benefits do not exist. (2013)
11. What are the alternatives to contingent valuation when valuing the costs and benefits of a public policy project? Assess the advantages and disadvantages of

these alternatives. (2012)

12. Assess the claim that "a correct valuation of health advances must account for the induced effect on future costs." (Murphy and Topel, 2005) (2009)
13. Consider a town where the water supply is contaminated with a substance that local residents perceive to be harmful but that experts testify to be harmless. It is known that construction of a new water treatment system could entirely remove the contaminant. How should cost-benefit of this investment project proceed? (2008)
14. What elements should a local government take into account when making a CBA for public good provision? (2007)
15. How should cost-benefit analysis be used in the evaluation of new drug treatments in the NHS? (2006)
16. How can the value of a public investment project be measured when market prices are not available? Refer in your answer to projects concerning either (a) the environment or (b) safety. (2005)
17. Should public investment decisions be subjected to social cost-benefit analysis more often in developing than in developed countries? (2004)
18. "Cost-benefit analysis is a good idea in principle, but it is almost impossible to apply in practice to any important social decision." Discuss, with examples. (2003)

TOPIC 2: TAX INCIDENCE AND COMMODITY TAXATION

Tax Incidence; Ramsey taxation; inverse elasticity rule.

Core Textbooks:

Hindriks and Myles, 2nd Edition, Chapters 9.5, 15

Atkinson and Stiglitz, Lectures 6, 12

Myles, Chapter 4

Cullins and Jones, Public Finance and Public Choice, Chapter 7

General Reading:

Crawford, I., M. Keen and S. Smith (2010), "Value-Added Tax and Excises", in the *Mirrlees Review*.

Heady, C. (1993), "Optimal Taxation as a Guide to Policy: a Survey" *Fiscal Studies*, 14 (1), 15-41.

Stern, N. (1987), "The Theory of Optimal Commodity and Income Taxation: An Introduction", in Newbery and Stern, eds, *The Theory of Taxation for Developing Countries*, OUP.

Past Exam Questions for Topic 2:

1. What are the welfare effects of commodity taxation when leisure can be taxed? When leisure cannot be taxed, what is the rationale for taxing complements of leisure? Can this conflict with equity concerns? (2022, Part A)
2. Should goods be taxed according to the inverse of the price elasticity of demand?
3. What assumptions do we need to make to be sure that it is welfare-improving to set all commodity taxes or subsidies to zero? Do these assumptions always hold? (2019, Part A)
4. In the UK, household heating is taxed at 5%, while most other consumer goods are taxed at 20%. Discuss whether this is a good policy. (2018)
5. Suppose in country X it is very difficult to tax income (incomes are not observed by the government), whereas in country Y the majority of income is readily taxed at source. Discuss how the optimal commodity tax regimes might differ between the two countries. (2017)
6. Since the poor have very different consumption patterns than the rich, differential taxes on commodities will necessarily have distributional consequences. Commodity taxes should therefore be designed to have a positive impact on the distribution of welfare. Discuss. (2016)
7. Is the current UK system of commodity taxation (VAT with exemptions for certain items like food) optimal? Discuss. (2015)
8. Do you agree that since taxing commodities creates a deadweight loss, commodity taxes should be designed to minimise this loss? (2014)
9. Should staple food be taxed less heavily than luxuries? If so, why? (2013)
10. "If there were no other way of transferring resources to the poor, setting low taxes on necessities and high taxes on luxuries might be a good policy. But it is unlikely to be so when other instruments are available." Explain and discuss (2012)
11. What are the main principles of optimal commodity taxation? Are differential commodity taxes useful when income can be freely taxed instead? (2010)
12. Assume that the government is constrained to leave some goods untaxed. How does this affect the optimal tax treatment of other goods? (2009)
13. Can outcomes be achieved through commodity taxation that are not possible through other forms of taxation? (2008)
14. If commodity tax rates are adjusted to tax account of environmental damage, should the adjustment be proportional to the damage created? (2007)
15. How does the design of an optimal commodity tax system depend on the income tax system in use? (2006)

16. “Commodity taxes should be inversely proportional to demand elasticities.” “Commodity taxes should be higher for goods that are complementary with leisure.” “Commodity taxes should be lower for goods consumed by the poor.” Are these statements true? If so, how can they be reconciled? (2005)
17. "The Ramsey Rule is redundant once we allow for differences among households." Do you agree? (2003)
18. "Labour supply tends to be very inelastic, so the theory of commodity taxation suggests there should be a high rate of tax on wages." Discuss. (2002)
19. "The optimal design of commodity taxes depends on the relative weights given to distribution and efficiency. The structure of taxes in the U.K. suggests that more weight is given to the distributional aspects." Discuss. (2001)
20. "Commodity taxes in practice tend to be broadly uniform. This suggests that there is scope for improvement." Do you agree? (2000)

TOPIC 3. INCOME TAXATION AND LABOUR SUPPLY

Microeconomics of taxation and labour supply; incentive effects of income tax; optimal income tax; empirical evidence on labour supply.

Core Textbooks:

Atkinson and Stiglitz, Lectures 2 and 13

Connolly and Munro, Chapters 10, 11 and 13

Hindriks and Myles, 2nd Edition, Chapter 16

Myles, Chapter 5

Overview of the UK tax system:

Adam, S., J. Browne and C. Heady (2010), "Taxation in the UK", in the *Mirrlees Review* available at http://www.ifs.org.uk/mirrleesReview/publications.

Labour supply:

Blundell, R. (1992), "Labour Supply and Taxation: a Survey" *Fiscal Studies* 13 (3), 15-40.

Bosworth, B. and G. Burtless (1992), "Effects of Tax Reform on Labor Supply, Investment and Savings", *Journal of Economic Perspectives*, 6 (1).

Meghir, C. and D. Phillips (2010) "Labour Supply and Taxes" in the *Mirrlees Review*.

Optimal income taxation:

Brewer, M., E. Saez, and A. Shephard (2010), "Means Testing and Tax Rates on Earnings", in the *Mirrlees Review*.

Heady, C. (1993), "Optimal Taxation as a Guide to Policy: a Survey" *Fiscal Studies*, 14 (1), 15-41.

Mankiw, N. G., M. Weinzierl and D. Yagan (2009), "Optimal Taxation in Theory and Practice", *Journal of Economic Perspectives*, 23(4), 147-174

Saez, E. (2001), "Using Elasticities to Derive Optimal Income Tax Rates, *Review of Economic Studies*, 68(1) 205-229.

Diamond, P. and E. Saez, (2011), "The Case for a Progressive Tax: From Basic Research to Policy Recommendations" *Journal of Economic Perspectives*, 25(4): 165-90.

Stern, N. (1987), 'The Theory of Optimal Commodity and Income Taxation: An Introduction', in D. Newbery and N. Stern, (eds), *The Theory of Taxation for Developing Countries*, OUP, 1987.

Past Exam Questions for Topic 3:

1. For the tax year from 6 April 2024 to 5 April 2025, workers in the UK incur a marginal tax rate of 45% on all income over £125,140. Should the marginal tax rate on higher levels of income (e.g. over £1 million) be raised? (2025)
2. Suppose a technological shift increases productivity differences across individuals in a society. How would this change optimal income tax? (2024. Part A)
3. Why might a government prefer income taxation to commodity taxation? (2023, Part A)
4. What factors determine optimal marginal income tax rates? Suppose individuals can move across jurisdictions with different levels of taxes and public good provision. How might the determination of the optimal income tax be affected? (2023)
5. Suppose there are many groups in society, each with a different degree of lobbying power. The government sets income taxes according to the lobbying power of each group. How would the solution differ from income taxes set by a utilitarian planner? (2022)
6. What justifies constraining the marginal tax rate to lie between 0 and 1? In what circumstances, and for what incomes, would you set the marginal tax rate close to either extreme? (2020)
7. The government has decided to simplify the tax system through imposing a single marginal tax rate and providing the same lump sum benefits to all. Explain how to determine the optimal tax rate. (2019)
8. What is meant by \the social value of government revenue"? What is the \social marginal utility of income"? How should these be related when we have linear income tax and lump sum benefits? (2018, Part A)
9. (a) Assume that it is never optimal to set a marginal tax rate on income less than zero or greater than one. Explain why, if there is a highest earner, that earner should face a zero marginal tax rate.
   (b) Discuss the premise of part (a). Could it ever be optimal to set a marginal income tax rate outside the interval [0,1]? (2017)
10. What possible rationale might there be for having zero marginal tax rates on the very rich and negative marginal tax rates on the very poor? (2016)
11. What should determine the marginal tax rates on taxable income faced by the rich? Suppose, following a reform to the practices of private bankers, the rich _nd it more difficult to evade income tax. Should they face higher or lower marginal tax rates? (2015)
12. What evidence is relevant to determining whether marginal income tax rates are too high or too low? What are the main difficulties in reliably obtaining this evidence? (2014)
13. How would you evaluate the claim that the rich pay insufficient tax? (2013)
14. What are the main components of “the theory of optimal income taxation”? What

are its main insights? (2012)

15. What does economic theory teach us about how to determine the optimal marginal tax rates for high income individuals? (2010)
16. On what information should a desirable income tax system he based? (2009)
17. Should different groups in an economy face different income tax schedules? If foreign workers are more likely to emigrate if they are taxed heavily, what are the consequences for the optimal income tax schedule that they face? (2008)
18. Assume that growth on the economy leads to a rise in the modal income. What will happen to the optimal progressivity of the income tax? (2007)
19. Assess the case for the introduction of a flat income tax in the UK. (2006)
20. Does the theoretical analysis of optimal income taxation make a convincing case against higher marginal tax rates for higher earners? Is it supported by empirical evidence on labour supply? (2005)
21. What are the efficiency and distributional gains and losses of raising the marginal tax rate on income between £30,000 and £40,OOO per annum? What light does your answer throw on the shape of the optimal income tax schedule? (2004)
22. Explain how the optimal income tax schedule can be determined. How should tax rates respond to an increase in the inequality of pre-tax incomes? (2003)
23. "Theory suggests that the marginal rate of income tax should be low both at the bottom and at the top of the income distribution, and higher in between. In practice, the marginal rate of the combined tax/benefit system displays the reverse pattern." Discuss. (2001)
24. Outline the considerations in determining the optimal linear income tax. Are there any bounds on how high the optimal rate can rise? (2000).

TOPIC 4. PRINCIPLES OF GOVERNMENT INTERVENTION AND LIMITATIONS (EXAMPLE: TAX ENFORCEMENT)

Readings:

- **Second Best:**

  1. Gravelle and Rees "Microeconomics" 3rd Edition, Ch 14, pps 335-344
  2. Atkinson and Stiglitz "Lectures on Public Economics" Ch 15.2
  3. Hindriks and Myles "Intermediate Public Economics" Ch 9.7
  4. Cullis and Jones Public Finance and Public Choice Ch 1, 7.6, 15 and appendix 1(D)

- **Tax Enforcement:**

  1. Slemrod, J. and S. Yitzhaki (2002). "Tax Avoidance, Evasion and Administration," in A. Auerbach and M. Feldstein (eds.), Handbook of Public Economics Vol. 3, Elsevier, Amsterdam.
  2. Andreoni, J., B. Erard, and J. Feinstein (1998). "Tax Compliance." Journal of Economic Literature 36, 818-860.
  3. Artavanis N., A. Morse, M. Tsoutsoura (2016) "Measuring Income Tax Evasion Using Bank Credit: Evidence from Greece", The Quarterly Journal of Economics, Vol. 131, 739-798.
  4. Alstadsaeter, A., N. Johannesen, G. Zucman (2019) "Tax evasion and Inequality", American Economic Review.
  5. Jensen, A., (2022) "Employment structure and the rise of the modern tax system", American Economic Review, vol. 112, 213-34.

Past Exam Questions:

1. Give a statement of the Theory of the Second Best. Illustrate with one example and briefly discuss the relevance of the theory for policy making. (2025, Part A)
2. Do you agree with a proposal to remove income tax and replace it with tariffs? Why or why not? (2025)
3. Explain the implications of the Diamond and Mirrlees production efficiency result for the desirability of import tariffs. Are these implications relevant in practice? Why or why not? (2024, Part A)
4. To what extent do results from the theory of the second best depend on the assumption of interdependence of markets?

5. Consider a small open economy. The economy exports a good x_1. The good is produced by price-taking firms and consumed abroad and at home. Production of the good generates pollution e. Each unit of output generates one unit of pollution, i.e., e=x. The government wants to reduce pollution and is considering two alternatives: a production tax or an export tax. Which of the two would you recommend and why?
6. Discuss the challenges introduced by non-compliance when evaluating the desirability of a particular tax policy.
7. Countries typically employ many different taxes to raise tax revenue. Is it possible that the optimal mix of the personal income tax, consumption taxes and the corporate income tax could defer between two countries where one has full compliance on all taxes (for some reason), while the other has large problems with non-compliance? Discuss.

TOPIC 5. PENSIONS

Consumption smoothing and the life cycle model. Demographics. Overlapping generation model. Private, contributory and tax-based systems. Funded versus unfunded systems. Pension reform.

Core Textbooks:

Barr, Chapter 7

Connolly and Munro, Chapter 18

Hindriks and Myles, 2nd edition, Chapter 23

Myles, Chapter 14

General Reading:

Banks, J. and C. Emmerson (2000), "Public and Private Pension Spending: Principles, Practice and the Need for Reform", *Fiscal Studies*, 1-63.

Barr, N. and P. Diamond (2006), "The Economics of Pensions", *Oxford Review of Economic Policy*, 22 (1), 15-38.

Bozio, A. , R. Crawford, and G. Tetlow (2010), "The History of State Pensions in the UK: 1948 to 2010", IFS Briefing Note BN105, available at http://www.ifs.org.uk/publications/5000

Department for Work and Pensions (2006) *Security in retirement: towards a new pensions system*, available at http://www.dwp.gov.uk/pensionsreform/pdfs/white_paper_summary.pdf

Feldstein, M. and J.B. Liebman (2002), "Social Security" in Auerbach, A. and M. Feldstein, (eds), (2002), *Handbook of Public Economics*, Vol., Elsevier.

For further analysis of pension reform see the March 2005 issue of *Fiscal Studies* and the Spring 2006 issue of the *Oxford Review of Economic Policy*.

Past Exam Questions for Topic 5:

1. What are the benefits of a state-funded pensions system? (2024)
2. What are the causes of the pensions crisis? Critically evaluate possible solutions. (2023)
3. What is the golden rule of capital in an economy in steady state? Can a PAYG pension help to achieve it? (2020, Part A)
4. Rational individuals will smooth consumption over their lifetime as best suits them. The only role for government in pension provision is to ensure that the earnings and benefits of working-age people are high enough to allow for sufficient saving." Discuss. (2018)
5. Explain the difference between fully funded and pay as you go (PAYG) pension systems. If the return on investments exceeds the natural growth rate of the economy, does that mean that fully funded schemes are better than PAYG? What if the rate of return on investments is less than the natural growth rate? (2017)
6. How should pensions be organised? (2016)
7. UK state pensions will be increasingly focussed on redistribution rather than providing a reasonably high replacement rate." To what extent do you think this is a reasonable policy response to ongoing demographic changes? (2015)
8. “Since the rich have more savings, capital income should be taxed at least as heavily as labour income.” Do you agree? (2014)
9. “PAYG public pension systems do serve a useful purpose, which should be salvaged and enhanced by a deeper reform of the Welfare State.” Discuss. (2013)
10. What are the implications of rising dependency ratios for the (re)design of public policy towards pensions?
11. How should care of the elderly be funded? Consider the merits of (i) taxes paid upon death, (ii) provision as part of the National Insurance system, and (iii) general taxation. (2010)
12. What are the advantages, if any, of pay-as-you-go (PAYG) pensions over fully funded ones? (2010)
13. Discuss the proposition that since a pay-as-you-go pension system does not crowd out private savings, it is to be preferred to a fully-funded system. (2009)
14. Why not leave pension provision to the market? (2007)
15. What are the implications of a sustained fall in the real interest rate for both private pension provision and public pension provision? (2006)
16. Is intergenerational equity the central issue in pension reform? (2005)
17. "The only sensible response to rising dependency ratios is to encourage

increased saving." Discuss. (2003)

18. How (if at all) should the government respond to private pension providers replacing defined benefit schemes with defined contribution schemes? (2002)
19. "The case for fully-funded pension schemes is clear: if the dependency ratio rises, pay-as-you-go schemes require higher contributions to maintain pension provision levels, fully-funded schemes do not." Discuss. (2000)

TOPIC 6. HEALTH CARE

Efficiency and equity in the provision of healthcare. Uncertainty and information in healthcare and health insurance markets. Alternative healthcare systems and cross-country comparisons. NHS reform: the internal market and after.

General Reading:

- Barr, (2012, 5th ed) Welfare Economics Chapter 10 (on health care)
- Cutler, D. (2002), "Healthcare and the Public Sector" in *The Handbook of Public Economics*, Vol. 4, edited by Auerbach, A. and Feldstein, M.
- Propper, C. (2001), "Expenditure on Healthcare in the UK: A Review of the Issues", *Fiscal Studies*, 22(2): 151-83
- Stabile and Thomson (2014) "The changing role of government in financing health care: an international perspective" *Journal of Economic Literature* 52(2): 480-518
- Besley, T. and M. Gouveia (1994), "Alternative Systems of Health Care Provision", *Economic Policy*, October.

Asymmetric Information:

- Blomqvist, A. (1991), "The Doctor as Double Agent: Information Asymmetry, Health Insurance and Medical Care", *Journal of Health Economics*, 10: 411-32.
- Weisbrod, B. (1991), "The Health Care Quadrilemma: an Essay on Technological Change, Insurance, Quality of Care and Cost Containment", *Journal of Economic Literature*, 29: 523-52.

Choice and Quasi-markets:

- Martin Gaynor, Carol Propper, and Stephan Seiler (2016) "Free to Choose? Reform, Choice, and Consideration Sets in the English National Health Service" A*merican Economic Review* 106(11): 3521-3557
- Propper, S Burgess, D Gossage (2008) "Competition and quality: evidence from the NHS internal market 1991-1996" *Economic Journal*, 118, pp. 138-170
- Le Grand, J. (2002), "The Labour Government and the National Health Service", *Oxford Review of Economic Policy*, 18 (2): 137-53.
- Charles J. Courtemanche, Ishtiaque Fazlul, James Marton, Benjamin D. Ukert, Aaron Yelowitz, Daniela Zapata (2019) "The Impact of the ACA on Insurance Coverage Disparities After Four Years" NBER Working Paper 26157: https://www.nber.org/papers/w26157

Past Exam Questions for Topic 6:

1. The *National Schedule of NHS Costs for 2024-25* lists the guide prices for "Complex Hip or Knee Procedures for Non-Trauma Patients" as ranging from £10,478 to £21,441 (depending upon complexity). Using theoretical and empirical arguments, explain the rationale for centrally setting a guide price for such procedures and evaluate the likely consequences of:
   (a) Funding all procedures from regional NHS budgets (Integrated Care Systems).
   (b) Requiring primary care providers to directly commission procedures from secondary care providers using individual budgets at fixed prices.
   (c) Allowing primary care commissioners to renegotiate procedure prices with secondary care providers below the guide price.

   (2025)
2. Imagine that a country is considering moving from a retrospective to a prospective payment scheme for doctors working in the public health care system. What would be the main consequences that the government should consider? Based on your discussion, would you recommend this change? (2024)
3. Explain why adverse selection in health insurance markets can lead to under-insurance of individuals who are less likely to fall ill (low risk individuals). Use a diagram in your explanation. (2023, Part A)
4. Health insurance leads to excessive use of medical services!" Discuss this statement and carefully explain what characteristics of the health care system that are important for whether the statement is true. (2022)
5. What characteristics of health make the organization of health care provision difficult? Use theoretical and empirical arguments to illustrate the difficulties that arise. (2017)
6. Is marginal utility of income independent of health status? Using a formal model, show how the optimal provision of health insurance depends on your answer. (2016)
7. What are the advantages and disadvantages of publicly-funded health insurance? (2015)
8. Should a government be concerned if overall healthcare costs rise? (2014)
9. Compare the US healthcare system and the NHS with regard to the incentives for over- or underprovision of healthcare that doctors and patients face. (2013)
10. With reference to either the UK or the US, explain how the health system addresses the adverse selection problem in the provision of health insurance. What are the distributional consequences of this policy response? (2012)

11. "A policy of social health insurance combined with private provision of healthcare services gives the best of both worlds - equality of access and high quality care." Explain why you agree or disagree with this statement. (2010)
12. Does public provision of healthcare improve or worsen the incentives for doctors to act in the interests of patients? (2009)
13. Would it be desirable to increase competition between health-care providers? Should a distinction be made between primary and secondary care? (2008)
14. Could the problem caused by asymmetries of information in healthcare be addressed by regulation, rather than by public production and financing? (2007)
15. What are the theoretical advantages and disadvantages of allowing (i) patients to choose between NHS primary care providers; and (ii) purchasers to choose between NHS secondary care providers? Drawing on these arguments and empirical studies of past internal market reforms, evaluate the principle of choice within the NHS. (2006)
16. How would you expect the proportion of national income spent on health care to be affected by the organization of a country's health care system? Is there any evidence to support your conclusions? (2005)
17. Are Health Maintenance Organisations a satisfactory solution to the problems of market failure in healthcare? (2004)
18. "[The NHS], which arose historically largely for equity reasons, works because it goes with the grain of efficiency considerations." (N. Barr, 1998) Discuss. (2003)
19. Compared with other developed economies, the U.K. spends a relatively low proportion of national income on health. Of this, a high proportion is spent by government. Would a change in either or both of these proportions be an improvement? (2002)

TOPIC 7. EDUCATION

Human capital. Returns to education. Private and social costs and benefits. Policy issues: state versus private financing, equity and family background, school resources. Quasi- markets and educational reform in the UK. Higher education.

Core Textbooks:

Barr, Chapter 11, 12 (School and tertiary education)

Connolly and Munro, Chapter 20

General Reading:

Dutta,J., J. Sefton and M. Weale (1999), "Education and Public Policy", *Fiscal Studies*, 20(4) (reprinted in Myles, Miles and Preston).

Hanushek, E. (2002), "Publicly provided education" in *The Handbook of Public Economics*, vol 4, edited by A. Auerbach and M. Feldstein

Machin, S. and M. Stevens (2004), "The Assessment: Education", *Oxford Review of Economic Policy*, Summer. See also articles by Johnson, and Blanden and Gregg.

Spence, M. (1973). Job Market Signaling. *Quarterly Journal of Economics*.

Weiss, A. (1995). Human Capital vs. Signalling Explanations of Wages. *Journal of Economic Perspectives*

Choice and QuasiMarkets:

Brighouse, H. (2000), *School Choice and Social Justice*, OUP, especially chapter 3. The full text of the book is available as an electronic resource on OLIS.

Department for Education and Skills (2006), *A Short Guide to the Education and Inspections Act*

Gibbons, S., Machin, S. and Silva, O. (2006), "Competition, Choice and Pupil Achievement", CEE Discussion Paper 56, available at: http://cee.lse.ac.uk/cee%20dps/ceedp56.pdf

Hoxby, C. M. (2000). Does Competition among Public Schools Benefit Students and Taxpayers?. *The American Economic Review*, 90(5), 1209-1238.

Determinants of Educational Outcomes:

Chetty, R., Friedman, J. N., Hilger, N., Saez, E., Schanzenbach, D. W., & Yagan, D. (2011). How does your kindergarten classroom affect your earnings? Evidence from Project STAR. *The Quarterly Journal of Economics*, 126(4), 1593-1660. Non-technical summary: http://obs.rc.fas.harvard.edu/chetty/STAR_Kappan.pdf

Angrist, J.D., Lavy, V. (1999). Using Maimonides' rule to estimate the effect of class size on scholastic achievement. *The Quarterly Journal of Economics*, Vol. 114, Issue 2, 533-575.

See also Hanushek (2002) chapter.

Returns to Education:

Harmon, C., Oosterbeek, H, Walker, I. (2003), "The Returns to Education: Microeconomics", *Journal of Economic Surveys*, 17(2), 115-155.

Moretti, E. (2004), "Workers' Education, Spillovers, and Productivity: Evidence from Plant-Level Production Functions, *American Economic Review*, 94(3): 656-90.

Oreopoulos, P. (2006). Estimating average and local average treatment effects of education when compulsory schooling laws really matter. *The American Economic Review*, 152-175.

Higher Education:

Barr, N. (2004), "Higher Education Funding", *Oxford Review of Economic Policy*, 20(2).

Haroon Chowdry, Lorraine Dearden, Alissa Goodman and Wenchao (Michelle) Jin, (2012), "The distributional impact of the 2012-13 higher education funding reforms in England", *Fiscal Studies*, Vol. 33, No. 2, pp. 211-235

Past Exam Questions for Topic 7:

1. How can we identify and measure returns to education? Explain the main difficulties and how we might overcome them. (2024)
2. The government is considering increasing mandatory education until the age of 21 (which for many pupils would include a 3 year university degree.) Discuss the desirbility of this policy and how that might depend on which theory of the drivers of the demand for education we believe to be relevant in this context. Based on empirical evidence which theory is most likely to be true? Discuss. (2023)
3. Explain the key differences between the human capital theory and the signalling theory of the demand for education. What are the implications of these two theories for the relative size of private vs. social returns to education? (2022, Part A)
4. The government is considering making the amount of university tuition fees that each student has to pay depend on their own A-level (or high school) performance. How might the choice of education in equilibrium be affected if better performing A-level students pay more than worse performing students? Or alternatively if worse performing A-level students pay more than better performing ones? What happens to the return to education with the two alternatives? (2020)
5. Consider the example of teenage children of German migrants living in the UK. There is some likelihood that they will return to Germany at some point in the future. How do the private and social costs and benefits of obtaining university education in the UK differ between these teenagers and British natives of the same age? How does the trade-off change if the likelihood of the German teenagers having or wanting to return to Germany increases? (2019)
6. Private returns to school education are so high that every person will want to go to school. The state thus does not need to subsidize schools or require attendance." Discuss. (2017)
7. Discuss the empirical evidence that limits the applicability of the First Welfare Theorem in the provision of school education. (2015)
8. Empirical studies estimating Mincerian wage equations (ln wage = α + β*schooling + γ*experience + δ*experience2 + ε) with Ordinary Least Squares have difficulties accounting for the endogeneity of schooling. Describe and evaluate research designs and estimation strategies that could improve over this approach. (2014)
9. Does competition in the provision of secondary education improve pupils' outcomes? Use theoretical and empirical arguments. (2013)
10. “The state should fund and organize high school education but not higher

education." Discuss using theoretical and empirical arguments. (2012)

11. Is there any convincing evidence to support Charles Tiebout's claim that people "vote with their feet"? Drawing on this evidence and theoretical critiques, discuss Tiebout's hypothesis that the provision of local public goods will be efficient. (2011)
12. To what extent do the private and social returns to higher education differ? What policy conclusions can be drawn from the evidence on returns to education? (2010)
13. Hoxby (2003) claims that school choice could be "a tide that lifts all boats". What are the theoretical arguments for policies to increase school choice? Is Hoxby's claim supported by the evidence? (2010)
14. What are the implications for education policy of the evidence from many studies, both at aggregate and individual levels, that educational outcomes are not closely related to measures of school resources? (2009)
15. "It is not surprising that no advanced country has a system of school education which remotely approximates a pure private market." (Barr 1977). Discuss. (2008)
16. Assess the effectiveness of the following proposals for improving the educational outcomes of children from poorer households: (i) Increasing the Child Tax Credit; (ii) More funding for schools in poor neighbourhoods; (iii) Increasing the provision of nursery education; (iv) Raising the school-leaving age to eighteen. (2007)
17. Who should choose which school children attend? (2006)
18. Does evidence on the determinants of individual educational outcomes provide useful information for policy-makers? (2005)
19. "Equity is the main justification for government provision of compulsory education. But equity will be the main casualty of UK policies encouraging choice and diversity in schools". Discuss. (2004)

TOPIC 8: WELFARE REFORM AND INEQUALITY

General Reading:

- Barr, N. "Economics of the Welfare State" (5th edition: chs 6,8,9) (4th edition: chs 8,10,11)
- Moffitt and Chan (2018) "Welfare reform and the labor market" Annual Review of Economics 10:347-381
- Mirrlees, J.A. (1997) "Information and incentives: the economics of carrots and sticks" Economic Journal 107: 1311-1330
- Feldstein, M. (2005) "Rethinking social insurance" American Economic Review
- Saez, E., Zucman, G. (2016) "Wealth inequality in the United States since 1913: Evidence from capitalized income tax data", The Quarterly Journal of Economics, Vol. 131, Issue 2.

Policy Reforms

- Card and Hyslop (2005) "Estimating the effects of a time-limited earnings subsidy for welfare-leavers" Econometrica 73(6): *1723-1770*
- Blundell (2016) "Welfare to work: which policies work and why" in: *Labour Supply and Taxation* Blundell, Peichl and Zimmerman (eds.) DOI:10.1093/acprof:oso/9780198749806.001.0001
- Hoynes and Rothstein (2019) "Universal Basic Income in the US and Advanced Countries" Annual Review of Economics, also NBER Working Paper 25538
- Black, Smith, Berger and Noel (2003) "Is the Threat of Reemployment Services More Effective Than the Services Themselves? Evidence from Random Assignment in the UI System" American Economic Review 93(4)
- Petrongolo, B. (2014) "Tacking long-term unemployed" http://cep.lse.ac.uk/pubs/download/cp416.pdf
- Verho, J., Hämäläinen, K., Kanninen, O. (2022). Removing welfare traps: Employment responses in the Finnish basic income experiment. *American Economic Journal: Economic Policy*, 14(1), 501-522.

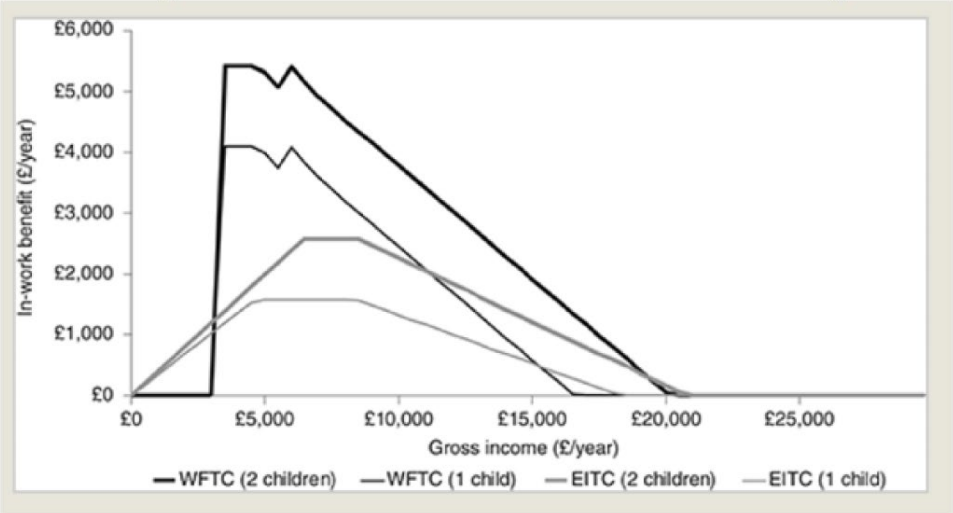
Past Exam Questions for Topic 8:

1. What problems is Universal Basic Income (UBI) supposed to solve? Would the adoption of UBI be likely to be successful in achieving these goals? (2025)

2. The introduction of a universal basic income in the UK would lead to improvements in the labour market and so the government should consider such a reform." Discuss this statement. In your discussion include a careful explanation of the expected labour supply effects of a universal basic income. (2023)

3. A government is choosing between adopting either The Earned Income Tax Credit (inspired by the US) or the Working Families Tax Credit (inspired by the UK).
   a) What policy would you advice them to choose and why? (Refer to Figure 1 below in your answer)
   b) Once they have chosen either the EITC or the WFTC would you recommend that they adopt any other welfare programs as well? Why/why not?

   Figure 1: Earned Income Tax Credit vs. Working Families Tax Credit



   (2022)

4. Should incentives to induce individuals to return to work be means tested? Should the incentives be time limited? (2020)

5. Are in-work benefits better suited to correct a market failure (such as an inability to exploit returns to experience) or to achieve redistributive goals? How long-lasting would we expect the effects of in-work benefits on labour supply to be?

6. The government is concerned about the rise in part-time work and wants to put incentives into the tax schedule to encourage more full-time work. Its proposal is to give anyone working over 30 hours a week a tax credit of £ 200 per week, which is withdrawn at the rate of 30% when annual earned income rises above £ 15,000. (a) How successful is this policy likely to be for different groups in society? (b) Should the amount of tax credit awarded be reassessed each month or each year?

7. Can a universal basic income avoid the poverty traps often associated with welfare provision, and at the same time alleviate poverty for those in need?